ChatGPT

Standard Operating Procedure (SOP): Loan Underwriting

Team: Credit Underwriting | **Responsible**: Underwriting Manager | **Accountable**: Chief Credit Officer | **Version**: 1.0 | **Last Review Date**: 2025-06-01

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1. Introduction

Loan underwriting is the process by which lenders evaluate borrower creditworthiness to decide whether to extend credit. An effective underwriting SOP ensures that every loan application is assessed consistently, using predefined criteria and documented evidence. By following this procedure, the bank mitigates credit and fraud risks through thorough analysis and clear controls. The purpose of this SOP is to standardize loan evaluation, maintain data integrity, and ensure auditability of the lending process. The scope covers all loan products subject to formal underwriting (consumer, commercial, mortgage, etc.). Each new loan triggers this process (daily/ongoing), with portfolio-level reviews on at least a quarterly basis to ensure continued compliance and soundness.

1.1 Purpose

Define the steps and responsibilities for underwriting loans, ensuring decisions align with the bank's credit policy and regulatory requirements. This SOP documents the underwriting workflow so that knowledge is not siloed and can be consistently executed. It guides staff to collect the right information, apply credit criteria, and record decisions, thereby preserving portfolio quality and minimizing undue risk.

1.2 Scope

Applies to **all loan applications** requiring underwriting review. Exclusions: pre-approved credit lines or loans under automated limits (which follow their own procedures). The underwriting process is initiated for each application (daily intake) and includes ongoing tasks (e.g. weekly exception reports) and periodic activities (monthly management reports, quarterly reviews). Any changes to the process (e.g. new loan products or updated policies) will be incorporated through version control and communicated to the team.

1.3 Standards and References

Underwriting criteria must align with the bank's **Credit Policy**, risk appetite, and external guidelines (e.g. Basel credit risk principles, OCC/FDIC/OFR guidance). Borrower evaluation relies on sufficient information (purpose of the loan, repayment sources, collateral, etc.) as mandated by credit risk standards. Relevant policies include the Internal Credit Manual, Anti-Fraud procedures, and Know-Your-Customer (KYC) regulations. Data and documentation must comply with data integrity best practices (complete, consistent, accurate). This SOP follows best practices for SOP documentation (clear language, checklists, audit trails).

2. Roles and Responsibilities

- **Underwriting Manager (Responsible):** Oversees the underwriting process, sets and updates lending criteria, and approves complex or high-value loans. Ensures the SOP is followed and that all underwriters are trained. Reviews exception reports and escalates issues as needed.
- **Credit Analyst / Underwriter (Responsible):** Performs detailed loan assessments. Duties include analyzing credit applications and financial statements, evaluating credit reports and collateral, and assessing debt-to-income ratios. Uses automated tools (credit scoring models, risk rating systems) as applicable. Recommends approval, conditional approval (with requirements), or decline. Documents analysis results clearly.
- **Loan Officer (Support):** First point of contact for applicants. Collects and verifies all required borrower information and documentation (identity, income proof, collateral docs). Ensures initial completeness of the application before forwarding to underwriting. Communicates with borrowers regarding document needs and loan status.
- **Credit Committee / Senior Approver (Accountable):** Reviews and makes final decisions on loans that exceed authority levels or involve exceptions. Balances portfolio-level risk when evaluating large credits. Accountable for overall lending decisions and ensuring they align with strategic objectives.

- **Risk & Compliance Officer (Consulted):** Reviews underwriting practices for compliance with regulations (e.g. fair lending, AML, data privacy). Audits sample files to ensure policy adherence. Monitors changes in regulatory environment and recommends updates to procedures.
- **Operations / Documentation Team (Support):** Prepares and maintains loan documentation (promissory notes, security agreements), and ensures completed files are properly recorded in loan systems. Notifies borrowers of approval/denial. Maintains version-controlled SOP and records all approvals/disbursements.

Each role must maintain **accurate records** in the loan file and report any irregularities. A RACI matrix (Responsible, Accountable, Consulted, Informed) is maintained separately to clarify ownership of specific tasks.

3. Process Workflow

The underwriting process is executed step-by-step as follows. Each action is documented, and responsible parties are identified. The process is designed for repeatability and risk mitigation at every step.

- **3.1 Application Intake (Daily):** Borrower submits a loan application along with required documents (ID, income proof, etc.). *Risk:* Incomplete or fraudulent applications. *Mitigation:* The Loan Officer checks for completeness and performs identity verification (e.g. KYC checks). Missing items are returned to the applicant immediately.

- **3.2 Preliminary Screening:** The Underwriter retrieves credit bureau reports and extracts key data: credit scores, outstanding debts, payment history. Checks debt-to-income ratio, collateral availability, and red flags (e.g. bankruptcies). *Risk:* Approving ineligible applicants. *Mitigation:* Automated credit scoring systems and internal checklist ensure initial criteria are met. Any missing or conflicting information is requested before proceeding.

- **3.3 Detailed Credit Analysis:** The Credit Analyst performs an in-depth review. This includes verifying income and employment, analyzing financial statements or tax returns, and assessing repayment capacity. For secured loans, the collateral’s value and marketability are appraised. The analyst calculates metrics (e.g. loan-to-value, debt service coverage). *Risk:* Underestimating credit risk. *Mitigation:* Thorough documentation (income, assets, liabilities) and cross-checking against credit reports ensure accuracy. All assumptions are documented, and sensitivity analyses may be performed for uncertain cases.

- **3.4 Decision and Approval:** Based on analysis and policy guidelines, the underwriter recommends one of: approve, conditionally approve, or decline. Loan terms (amount, rate, tenure, covenants) are structured to balance risk and business objectives. *Risk:* Loss from defaults. *Mitigation:* Loans outside standard criteria are escalated to the Credit Committee for review. Conditions (additional collateral, guarantees, covenants) are imposed when needed. Approvals are only given if risk fits within the bank’s appetite.

- **3.5 Documentation & Disbursement:** Final decisions and terms are recorded in the loan file. All required legal documents are prepared (e.g. note, mortgage/security instrument) and signed by the borrower. The disbursement of funds occurs only after all documentation is complete. *Risk:* Legal/

non-compliance issues. *Mitigation:* Documentation checklists ensure nothing is omitted. A final quality check by Operations confirms all conditions have been met before funding.

- **3.6 Reporting (Monthly/Quarterly):** The Underwriting Manager compiles activity reports (number of applications, approvals, declines, exceptions) monthly. Quarterly reports on portfolio quality (delinquencies, concentration limits) are sent to senior management. *Risk:* Undetected portfolio trends. *Mitigation:* Regular reporting and review allow early detection of emerging risks and ensure the process remains effective.

Throughout the workflow, data is captured in an electronic system to maintain accuracy. Checklists and electronic approvals create an audit trail, so each step is verifiable and repeatable.

4. Process Review

- **4.1 Review Schedule and Audits:** The underwriting process and criteria are formally reviewed at least **annually** by senior management or the Board's Credit Committee. Quarterly, the Risk department analyzes portfolio performance for new risks. Internal Audit performs periodic file reviews (verifiability) to confirm compliance with this SOP. Any findings (e.g. deviations, missing docs) are reported and tracked to closure.

- **4.2 Performance Metrics:** Key metrics (approval rate, turnaround time, delinquency rate, loan losses) are tracked continuously. Targets (e.g. average days to decision) are set, and variances are investigated. These metrics feed into business unit scorecards and impact process improvements. Monitoring ensures that the underwriting function adapts to changes in market or borrower behavior.

- **4.3 Compliance Checks:** Regulatory examinations and internal audits assess adherence to lending regulations (fair lending, AML, data protection). The SOP mandates that all underwriting activities be documented. Issues identified in audits (e.g. missing credit reports or policy violations) trigger corrective action and may involve re-training. Review findings also verify that underwriting standards remain aligned with risk tolerance.

Regular review and governance ensure the underwriting process continues to meet the bank's standards and mitigate credit risk effectively.

5. Process Management

- **5.1 Policy Alignment:** The underwriting criteria embedded in this SOP are drawn from the bank's Credit Policy and risk management framework. Any changes in internal policy or external regulations (e.g. Basel III updates, new SR letters) are incorporated into this SOP through a formal change control process. This ensures ongoing alignment and mitigates compliance risk.

- **5.2 Data Integrity and Documentation:** All information used in underwriting must be **accurate, complete, and consistent**. Data sources (credit bureaus, financial statements) are validated at entry. The SOP enforces ALCOA principles: data is attributable, legible, recorded contemporaneously, original or true copy, and accurate. Electronic systems maintain audit logs of any changes. This preserves the integrity of credit decisions and allows them to be reconstructed if needed (verifiability).

- **5.3 Reporting and Escalation:** A clear reporting line is maintained: Underwriters report to the Underwriting Manager, who reports to the CCO. Exceptions or issues discovered (e.g. potential fraud, missing controls) must be escalated immediately to management. Thresholds for escalation are defined (e.g. any loan over a certain size, or uncovered discrepancy), triggering review by senior credit officers. This escalation process ensures timely intervention on critical risks.

- **5.4 Verifiability and Recordkeeping:** Each loan file serves as evidence that the process was performed. Files include the application, analysis worksheets, credit memos, approval documents, and all correspondence. This documentation makes the process auditable and repeatable. The SOP itself is version-controlled: changes are logged, reviewed, and approved, so historical compliance can be demonstrated.

- **5.5 Training and Sustainability:** Underwriting staff receive initial and ongoing training on this SOP, credit policies, and tools. Process sustainability is ensured by maintaining clear procedures and checklists so that work is not dependent on individual knowledge. Periodic refreshers and updates keep the team "capable of conducting the activity to the highest standards". Succession and backup roles are defined so the process continues uninterrupted during staffing changes.

By embedding these management controls, the underwriting process remains consistent, repeatable, and auditable over time, even as personnel or conditions change.

6. References

- FDIC **Risk Management Manual**, *Underwriting and Loan Approval Process* (March 2007).
- Stripe (2024), *How to improve the underwriting process* (loan underwriting section).
- Bank for International Settlements, *Principles for the Management of Credit Risk*.
- Federal Reserve Board, *Supervisory Policy on Credit Risk Management*.
- Document360 (2025), *What is Standard Operating Procedure?*.
- ComplianceOnline (2023), *Meeting the Regulatory Expectations for Data Integrity*.
